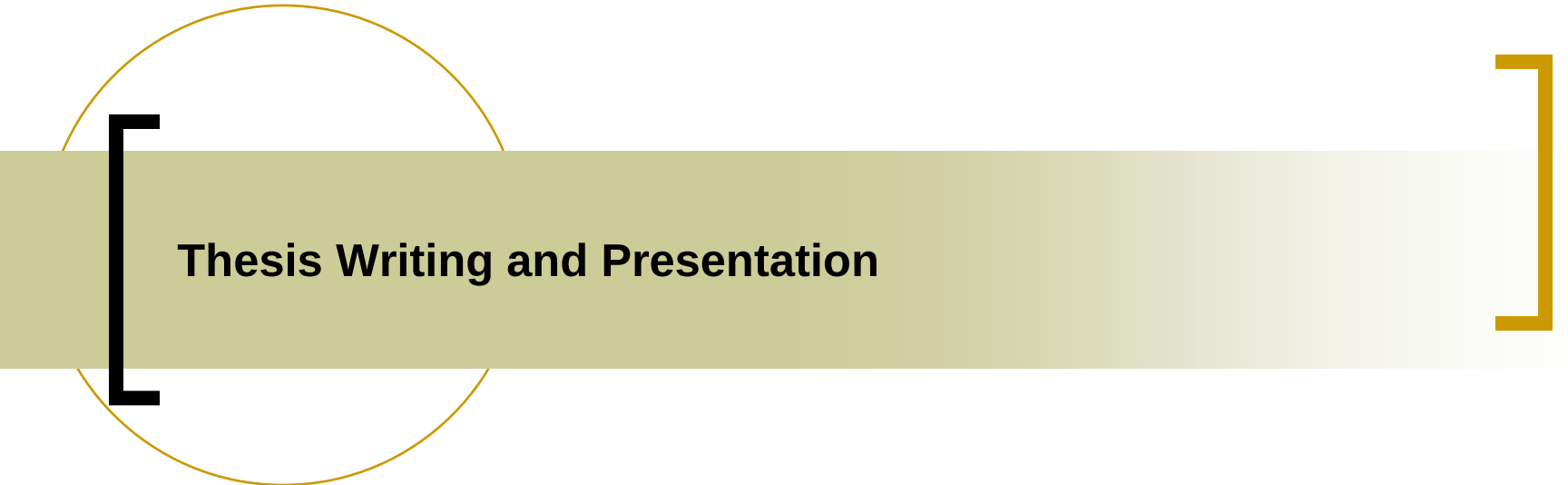




Thesis Writing and Presentation

KAIST Graduate School of Finance

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Picking up a Thesis Topic

- First, you need to ask yourself what area you are interested in.
 - Since you are writing a thesis for the financial engineering Master's degree, the topic should be closely related to the finance area.
- If the broad area for the thesis is decided, then you need to look over the existing literature in the area, and how the other people have thought of the issues in the area.
- Next, you need to fix a concrete question you want to deliver in your thesis.
- Find a key paper (or papers) for the question, and then replicate the paper with your own data. Then think about how to adjust/expand the key paper to the one that suits well with your idea or data.

Thesis Writing

- The contents of thesis
 - Introduction
 - Hypotheses development and data
 - Empirical analysis
 - Robustness check
 - Conclusion
 - References, Tables and Figures

Thesis Writing (2)

- What should be included in “Introduction”
 - The motivation of the paper
 - Why the paper is interesting (i.e., why the other people should read the paper and what they can learn from the paper).
 - The literature review that is relevant to the paper
 - The published papers that deal with the same topic and relevant topics should be briefly discussed.
 - How your paper is different from the existing literature should be discussed.
 - The relations between your paper and the existing literature

Thesis Writing (3)

- The contribution of the paper
- The brief introduction and conclusion of the paper
 - The introduction should be written so that the readers can figure out the crux of the paper only by the introduction of the paper. Thus, all the important empirical results of the paper as well as the hypotheses and theoretical background of the paper should be briefly presented in the introduction part.
 - The conclusion of the paper should be also provided.
- The structure of the paper

Thesis Writing (4)

- Hypotheses development and data
 - Hypotheses
 - The hypotheses you want to examine in the paper should be developed in this part.
 - The theoretical background and economic intuitions behind the hypotheses should be rigorously backed up.
 - Data
 - The source of the data, the sample period (or the number of observations in the cross-sectional data), sample selection criteria
 - Descriptive statistics of the data should be provided and discussed.
 - Limitations or possible biases in data

Thesis Writing (5)

- Empirical analysis
 - Research design and empirical methods
 - Why the empirical methods employed in the paper are optimal for your analyses and possible problems of your empirical methods
 - Empirical results
 - Estimation results
 - Whether your results are consistent with the hypotheses you put forth
 - Practical implications
 - Comparisons with those in other relevant papers

Thesis Writing (6)

- Robustness check
 - Subsample analyses
 - Different measures
 - Empirical analyses complementing the main results

Thesis Writing (7)

- Conclusions
 - Summary of the paper
 - The punchline of the paper
 - Limitations and further study

The format of the thesis

- Follow the format of the *Journal of Finance* closely.
- Tables and figures
 - You should not bring up the tables from the output of a statistical package directly. You should make up your tables for your thesis.
 - You should not use any vertical lines in tables, and minimize the usage of horizontal lines.
 - Table and figures should be self-contained. That is, they should contain all the descriptions of the variables, estimation method, and sample period.

Table V
Cross-Sectional Asset Pricing Tests of Global Value and Momentum Strategies

Reported are Fama and MacBeth (1973) regression coefficient estimates and t -statistics of the cross section of average returns to the 48 value and momentum portfolios across the eight markets and asset classes we consider. The dependent variable is the cross section of returns on the low, middle, and high value and momentum portfolios of individual stocks in the United States, the United Kingdom, Europe, Japan, country index futures, currencies, government bonds, and commodities. The regressors are beta estimates of these portfolios with respect to the “All” liquidity risk measure from Table IV (the principal component-weighted average index of all liquidity shock measures across all markets globally); GDP growth; long-run consumption growth; the MSCI world index (“market”); the value everywhere factor, consisting of an equal volatility-weighted average of value strategies across all markets and asset classes; and a momentum everywhere factor defined similarly. The last four rows report results using only funding and market liquidity variables to measure liquidity risk, where the principal component-weighted average index of funding and market liquidity shocks are used separately to measure funding liquidity risk and market liquidity risk. Betas are estimated in a univariate regression with respect to each of the factors using a rolling window of the past 60 months of returns. For the market, a Dimson correction is used to account for possible nonsynchronous trading effects, where each portfolio’s returns are estimated on the contemporaneous value of the market plus 2 month lags of market realizations and the beta is the sum of the three coefficients on the contemporaneous and 1- and 2-month lags of the market. The cross-sectional regressions are estimated in the style of Fama and MacBeth (1973), where the cross section of returns on the 48 portfolios are regressed each month on the cross-section of beta estimates and the time-series mean and t -statistics of the monthly regression coefficients are reported.

Fama–MacBeth Cross-Sectional Regressions							
$\beta_{Liquidity\ risk}$	$\beta_{GDP\ growth}$	β_{LRCG}	β_{TERM}	β_{DEF}	β_{Mkt}	β_{Value}	$\beta_{Momentum}$
Dependent variable: Cross-section of 48 value and momentum portfolios							
0.0024 (3.05)							
	0.0003 (0.43)	0.0005 (0.42)	0.0021 (2.19)	0.0023 (2.18)			
0.0023 (2.29)	−0.0001 (−0.13)	0.0012 (1.01)	0.0014 (1.59)	0.0001 (0.11)			
0.0005 (0.56)			0.0015 (1.75)	0.0020 (2.22)	0.0029 (2.58)		
0.0016 (1.38)	0.0018 (2.87)	−0.0001 (−0.03)	0.0033 (2.87)	0.0014 (1.12)	−0.0006 (−0.38)	0.0031 (3.96)	0.003 (3.53)

The format of the thesis (2)

- References

- An article or a book should be included in the references if and only if it is cited in the thesis.
- References should be listed in an alphabetical order.
- The format

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No Plagiarism

- No plagiarism
- **According to the Merriam-Webster online dictionary, to "plagiarize" means:**
 - to steal and pass off (the ideas or words of another) as one's own
 - to use (another's production) without crediting the source
 - to commit literary theft
 - to present as new and original an idea or product derived from an existing source

In other words, plagiarism is an act of fraud. It involves both stealing someone else's work and lying about it afterward.

Thesis Defense

- Thirty minutes will be given to present your thesis: 20 minutes for the presentation, and 10 minutes for questions and comments
 - Since time is very limited, you need to focus on your main results when you present your thesis. You do not have time to present all your tables and results.
 - You discuss reference works only when they are really important in your presentation.
- Do not read your slides.